

pany to go under. All you're doing is wagering in the stock market that a firm is in trouble. Even if it doesn't go bust, it may have poor earnings, and the stock may decline. *If you profit from your judgment, it's not different in principle from profiting on the long side when you anticipate that a company's earnings will increase.*

Also, selling short is a very common business practice outside the stock market. They just don't call it selling short. For example, you go to a car dealer to buy a Chevrolet and you want it with fancy red paint, a stereo, and an automatic seatwarmer. You order all these extras and the dealer says, "I don't have such a car in stock, so I'll have to order it for you." You say, "Okay, that's fine. Order it." He says, "I'll have the car in a month. Pay me a deposit now. We'll order the car and deliver it to you." You agree. What's happened is that the dealer has sold short a car. He has actually sold you something before he's bought it from the factory.

The second rap on selling short is the belief that your profits are limited and your losses unlimited—and that is absolute nonsense. For example, there is a misconception that if you were to sell short a \$50 stock, the most you could earn is \$50, or 100% on your investment, if the company were to go bankrupt. Conversely, people believe that if you guess wrong there is no theoretical limit to how much you can lose. The stock could go to 1000, in which case you're out twentyfold on your money. Such thinking is faulty to say the least.

In the first place, when you sell short you put up collateral with a broker, which can be in the form of Treasury bills if you want to continue earning interest on the money. The minimum collateral is 50% of the transaction. So, if you were to sell short 100 shares of a \$50 stock, that's \$5,000, and you'd have to put up at least \$2,500 in collateral.

To simplify it, let's say you put up the whole amount. You place \$5,000 in T-bills with a broker. If that stock were to go up, he would eventually call you for more money. By the time the stock rose to \$80, you would have a \$3,000 loss.